

looks and manner that belie his position—he arrives for the photo shoot with *Business Today* dressed in blue jeans and sneakers, a black full-sleeve T-shirt, and an ordinary-looking, puffed, sleeveless jacket—Ray is the kind of CEO who says he doesn't actually have a workstation in office, and plonks himself down wherever a seat is free. Bespectacled and with the mien of a scholar, he frequently reaches out for the soft board to drive home a point, giving one the feeling of being in a classroom.

Behind the professorial façade, though, lies a sharp brain that expertly leverages an engineering and MBA background, and a deep understanding of distribution through stints in cement companies ACC and Lafarge and then Coca-Cola (first in bottler Hindustan Coca-Cola Beverages or HCCB, and later in Coke's offices in Vietnam and China) over a career spanning 25 years. And notwithstanding the new, disruptive marketing approach, Ray likes to keep things simple. Sample this: "We do not make technological products. We make beverages to refresh our consumers."

We *know* that. But such clarity is refreshing from a CEO in an industry that practically drowns itself in marketing layers, frequently losing its core message in the din it itself creates to amplify the same message.



AS WE SIT for the interview in a modest meeting room at the Coca-Cola India headquarters in Gurugram, mention of the word 'strategy' brings a twinkle to Ray's eyes. Taking charge of the company in January 2021, bang in between the first two waves of the Covid-19 pandemic, was a difficult yet learning experience. "As an organisation, it was clear to us that a post-Covid-19 world would see a serious supply chain disruption and, hence, more inflation. It therefore became necessary for us to strengthen our core base," he explains.

That core base is pretty strong already. With 80 million drinkers each week across its brands and penetration levels of 25-26 per cent, Coca-Cola is in a vantage position. Industry insiders, quoting numbers from Nielsen, say the carbonated soft drinks (CSD) market stands at ₹50,000 crore, in which the company's share is 60 per cent. Rival PepsiCo India (CSD brands include Pepsi, Mountain Dew and Sting) has just over 30 per cent share. In the cola segment, Thums Up and Coke are ahead of Pepsi. Likewise, Sprite, a lemon drink from Coca-Cola, leads the market ahead of PepsiCo's Moun-

FIZZY DREAMS

1

In 2022, two brands owned by Coca-Cola India—Thums Up and Sprite—hit the \$1-billion mark in retail sales. Maaza, at more than \$0.5 billion, is next in line

2

Two years ago, the company laid out a road map to focus on a "core strategy", which meant getting the most out of existing brands and move out of areas such as dairy and water-soluble powders

3

In the ₹50,000-crore carbonated soft drinks market, Coca-Cola India has close to 60 per cent share. It is directly up against PepsiCo whose portfolio includes Mountain Dew, Pepsi and Sting

4

In a clear departure from strategy, the company has decided to spend more advertising and promotion money in the third quarter of (calendar year) 2022 as compared to the second quarter, which coincides with peak summer in most parts of India

5

PepsiCo has taken the upper hand in the energy drinks market through the success of Sting. Coca-Cola's response has been Charge; the company claims it is the market leader in three states

